

MODERN INDIAN HISTORY

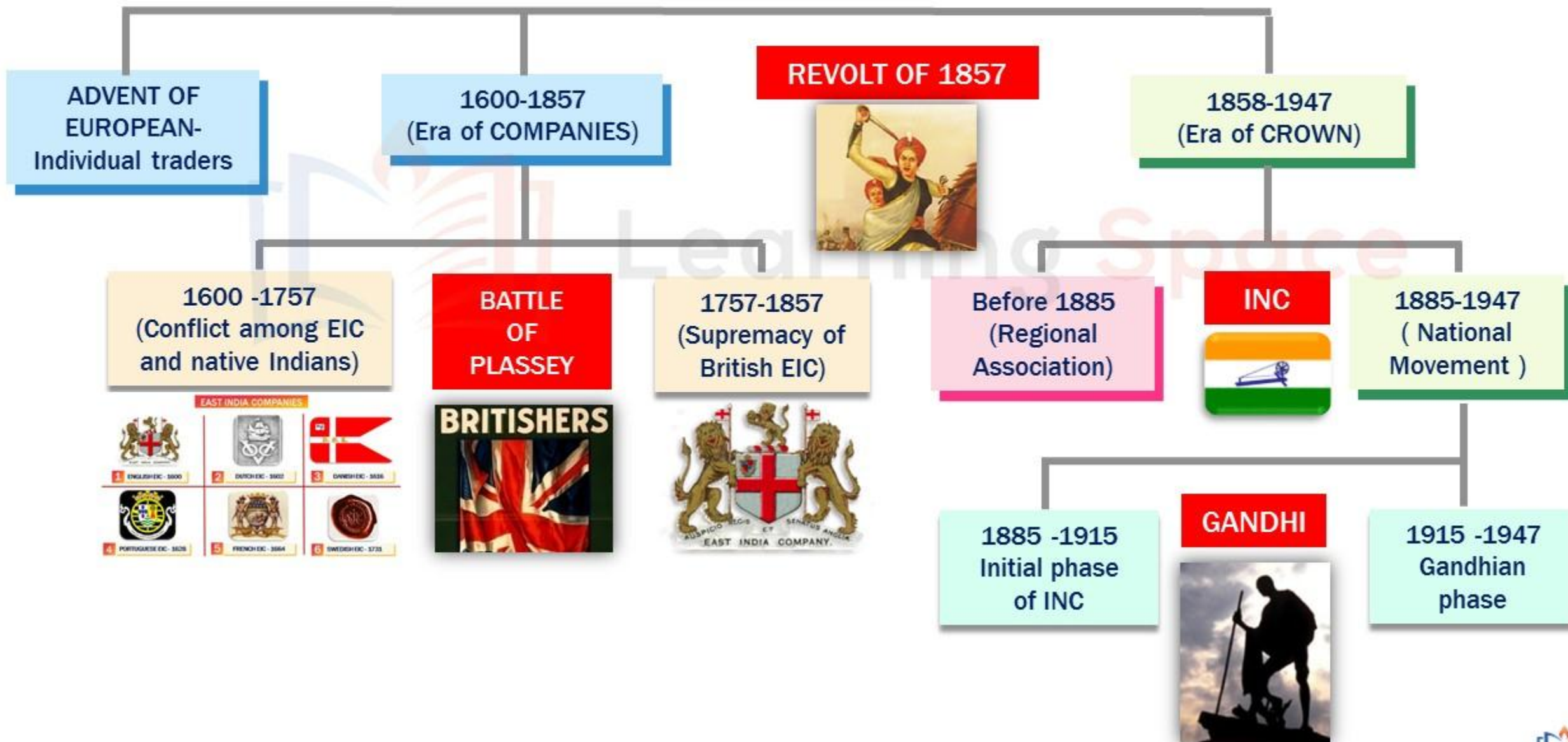


MODULE - 6

**ENGLISH EAST INDIA
COMPANY- PART 1**

MODERN HISTORY

DISCOVERY OF INDIA



MODERN HISTORY

EUROPEAN TRADERS



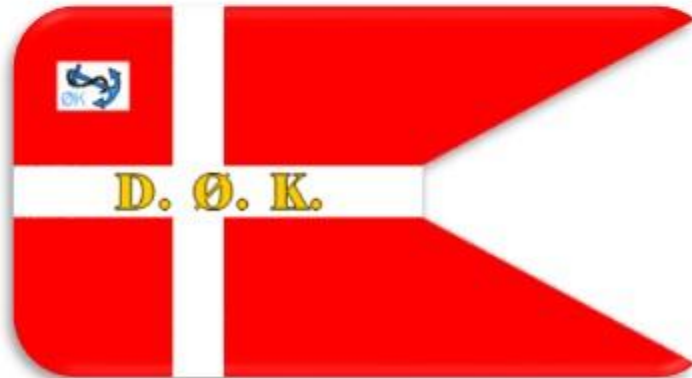
1 PORTUGUESE(CALICUT)



2 DUTCH (PULICAT)



3 ENGLISH(SURAT)



4 DANISH(TRANQUEBAR)



5 FRENCH (PONDICHERY)



**ENGLISH
EAST INDIA COMPANY**

**ESTABLISHMENT OF
EIC**

**REASON FOR
ESTABLISHMENT**

**INTERNAL
MANAGEMENT OF EIC**

**INITIAL EFFORTS
MADE**

TACTICS ADOPTED

**SETTLEMENTS AND
THREE PRESIDENCY**

**REASON FOR
DECLINE**

ESTABLISHMENT OF ENGLISH EAST INDIA COMPANY

A group of Merchants called as “Merchant Adventurers” formed an association or company in 1599.

English EIC was the first EIC to be formed. It was also known as JOHN COMPANY.



The immediate aim of the company was the acquisition of spices and pepper of the eastern archipelago.

The Company was granted an English Royal Charter, by Queen Elizabeth-I on 31 December 1600 by which company acquired monopoly to trade with Asia. EIC power extended from Cape of good hope in Africa to China.

Thomas Smith became the first governor of the company. Commander of first voyage to India was James Lancaster.

EAST INDIA COMPANIES



1 ENGLISH EIC - 1600



2 DUTCH EIC - 1602



3 DANISH EIC - 1616



4 PORTUGUESE EIC - 1628



5 FRENCH EIC - 1664



6 SWEDISH EIC - 1731

ENGLISH EAST INDIA COMPANY

REASON FOR ESTABLISHMENT OF EIC

HUGE PROFITS

- High profits earned by the **Portuguese** in Eastern trade, attracted English.
- English victory over the **Spain** in 1588 **generated a new sense of enterprise** in the British, encouraging sailors to venture out.
- **One voyage was so profitable** that investors got back invested money plus 220% of profit.

ATTRACTED BY WEALTH

John Mildenhall, an English Merchant came to India in the court of Akbar in 1599 and was **attracted by the prosperity** of India.



John Mildenhall in the court of Akbar

THREAT

- In 1590s, the **Dutch trade in the East Indies** was seen as a threat to the English trade.
- English merchants had to protect their interests, so in 1600 formed a *Company of merchants of London trading into the East Indies*.

**ESTABLISHMENT OF
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**INITIAL EFFORTS
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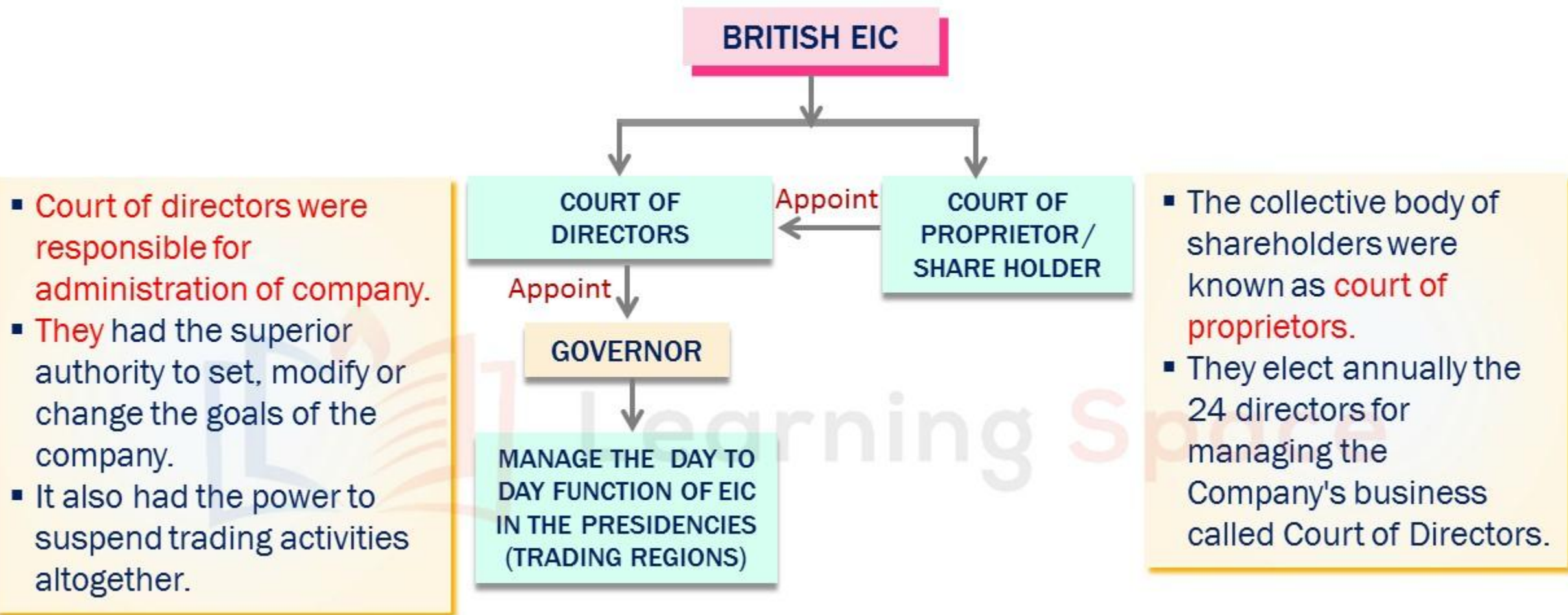
TACTICS ADOPTED

**SETTLEMENTS AND
THREE PRESIDENCY**

**REASON FOR
DECLINE**

ENGLISH EAST INDIA COMPANY

INTERNAL MANAGEMENT OF EIC



Company's governance and control systems was so well-structured that it survived for more than 250 years.

ENGLISH EAST INDIA COMPANY

INTERNAL MANAGEMENT OF EIC

DECISION-MAKING WAS AT TWO LEVELS

SUPERIOR BODY IN LONDON

QUEEN ELIZABETH I

COURT OF PROPRIETOR

THE COURT OF DIRECTORS

Members of council consisted of senior merchants of the company. Everything was decided in council by majority vote.

SUBORDINATE BODY IN ASIA - PRESIDENCIES (COMPANY'S SEPARATE TRADING REGIONS).

GOVERNOR

PRESIDENCIES
IN ASIA

COUNCIL

In India, three presidencies were established at Bombay, Madras and Bengal.

These presidencies were independent of each other **responsible to the Court of Directors in England**

They had **limited powers**.

ENGLISH EAST INDIA COMPANY

INITIAL EFFORTS TO ESTABLISH THEIR HOLD IN INDIA

- 1
 - New Monarch James-I sent William Hawkins to Court of Jahangir to India as official diplomat.
 - He was able to persuade the emperor to grant a permission for an English Factory at Surat but that permission was withdrawn under pressure of Portuguese Viceroy.



**CAPTAIN
WILLIAM HAWKINS**

Hawkins arrived at Surat in 1608. Emperor Jahangir received him with great warmth and hospitality. He fondly called him *English Khan*

- 2
 - In 1611, *Captain Middleton* was able to get permission to start a *factory in Surat* from the local Mughal governors.
 - However, he had to fight a battle with the Portuguese and was successful in defeating them in the *Battle of Bombay*.

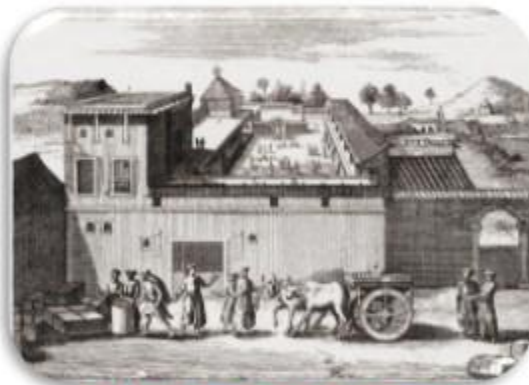


**CAPTAIN
MIDDLETON**

ENGLISH EAST INDIA COMPANY

INITIAL EFFORTS TO ESTABLISH THEIR HOLD IN INDIA

3 In **Battle of Swalley**, 1612 the Victory of **Captain Best** in Surat **broke the monopoly** of Portuguese naval supremacy and an **English factory was permanently established at Surat** in 1613.



SURAT FACTORY

Factory

A fortified area within which warehouses, offices and employees houses were situated.

4 In 1615, **Sir Thomas Roe** came to India in Court of Jahangir. He was able to get a **royal order "Farman"**. With this Farman, English Factory got a **legal authority** to set up permanent factory in Surat and **establish factory in all parts of the Mughal Empire**.



THOMAS ROE

In India, they established first permanent factory in Surat in 1613. In south India, they established first factory(trading post) in Masulipatnam in 1611.

INITIAL EFFORTS TO ESTABLISH THEIR HOLD IN INDIA



**JOHN MILDEN HALL -
AKBAR**



**CAPTAIN WILLIAM HAWKINS -
JAHANGIR**



**CAPTAIN MIDDLETON-
JAHANGIR**



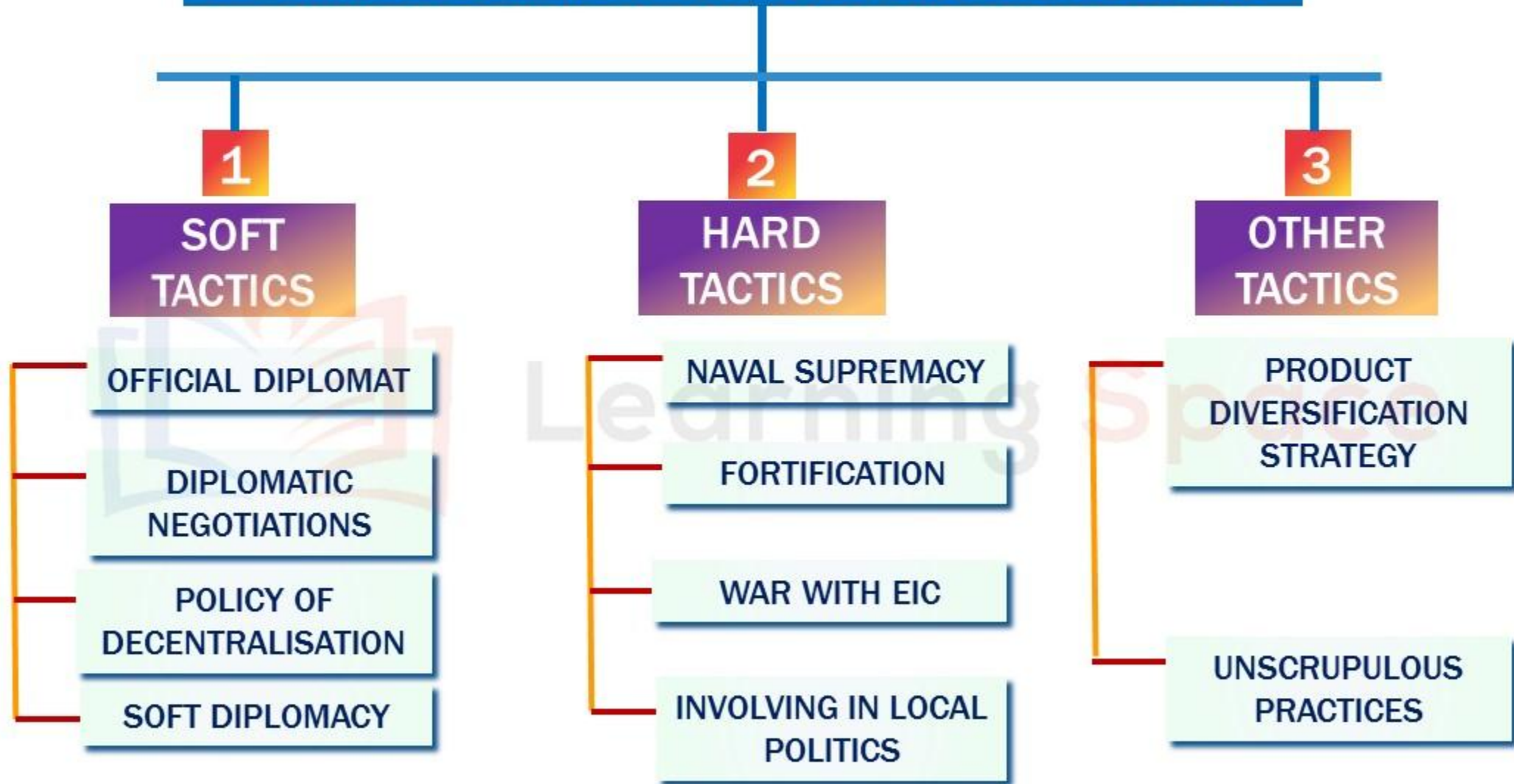
**CAPTAIN THOMAS BEST-
JAHANGIR**



**THOMAS ROE-
JAHANGIR**

ENGLISH EAST INDIA COMPANY

TACTICS ADOPTED BY ENGLISH EIC AT THE FORMATIVE STAGE TO CONSOLIDATE THEIR EMPIRE



ENGLISH EAST INDIA COMPANY

TACTICS ADOPTED BY ENGLISH EIC AT THE FORMATIVE STAGE TO CONSOLIDATE THEIR EMPIRE

SOFT TACTICS

1 Official diplomat were send to obtain trading rights.

- Captain William Hawkins
- Captain Middleton
- Thomas Roe



**CAPTAIN WILLIAM
HAWKINS**



**CAPTAIN
MIDDLETON**

2 They adopted a diplomatic negotiations rather than ruthless aggression like that of Dutch who followed a single-minded commercial aggression.



TACTICS ADOPTED BY ENGLISH EIC AT THE FORMATIVE STAGE TO CONSOLIDATE THEIR EMPIRE

SOFT TACTICS

3 Soft diplomacy

- Giving gifts
- **William Hawkins** was aware of Turkish **language**, which enabled him to communicate with Emperor Jahangir and persuade him to establish a factory.
- **William Hamilton (physician)** treated Farrukhsiyar, Mughal Emperor. After this English got Royal farman in 1717 for duty free trade in Bengal, Hyderabad and Surat .

4

British EIC followed a **policy of decentralization** by giving more **functional autonomy and privileges to their servants** (like private trade allowances) in comparison to other EICs.



TACTICS ADOPTED BY ENGLISH EIC AT THE FORMATIVE STAGE TO CONSOLIDATE THEIR EMPIRE

HARD TACTICS

5 Naval supremacy

- To dominate the trade route and secure sea-lanes.



6 Fortification of factories

- Mounting Arms
- Construction of moat.



ENGLISH EAST INDIA COMPANY

TACTICS ADOPTED BY ENGLISH EIC AT THE FORMATIVE STAGE TO CONSOLIDATE THEIR EMPIRE

HARD TACTICS

7 War with other EIC

- Against Portuguese (**Battle of Swalley**)
- Against Dutch (**Battle of Chinsura**)
- Against French (**Carnatic wars**)

Outcome of these battles were in favour of British EIC which **strengthen their position.**



8 Involving in local politics

- In Carnatic wars, both French and English **intervene in the mutual quarrels of the Indian princess** by supporting one against the other for **securing monetary, commercial and territorial favours** from the victor.
- Conflict with Native rulers like Marathas, Mysore, Nawab of Bengal.



BATTLE OF SWALLEY, 1612



FOUGHT BETWEEN

BRITISH,
CAPTAIN BEST



PORTUGUESE



REASONS

- Surat was an important **trading port**. Before British came to India, **Portuguese were having monopoly over trade** in Surat.
- When **British got permission to establish their factory in Surat**, Portuguese tried to prevent them.
- This brought **conflict between European countries** and lead to a war.

OUTCOME

- Victory of Captain Best in Surat **broke the monopoly of Portuguese** naval supremacy.
- British factory was permanently established at Surat in 1613.

BATTLE OF CHINSURA (BEDARA) , 1759



Fought between

BRITISH EIC



DUTCH EIC (VOC)



REASONS

- **Nawab of Bengal** Mir Jafar, wanted to come out from the **clutches of English** so **he approached Dutch** for help.
- This alliance irked British EIC.
- They attacked them both by land and water at Chinsura on the Hugli River, near Kolkata.

OUTCOME

- Dutch EIC was defeated and finally their **vision of establishing their empire in India was shattered forever.**
- Ultimately Dutch EIC colonial power ended and was **merely reduced to a trading company.**
- In Bengal, Mir Jafar was replaced by Mir Qasim.

ENGLISH EAST INDIA COMPANY

TACTICS ADOPTED BY ENGLISH EIC AT THE FORMATIVE STAGE TO CONSOLIDATE THEIR EMPIRE

OTHER TACTICS

9

- **Product diversification strategy** of British lead them to set up their trading settlements at diverse location.
- Example Bombay in west, Calcutta in East and Madras in South to gain access to **wide variety of products from all across the country.**



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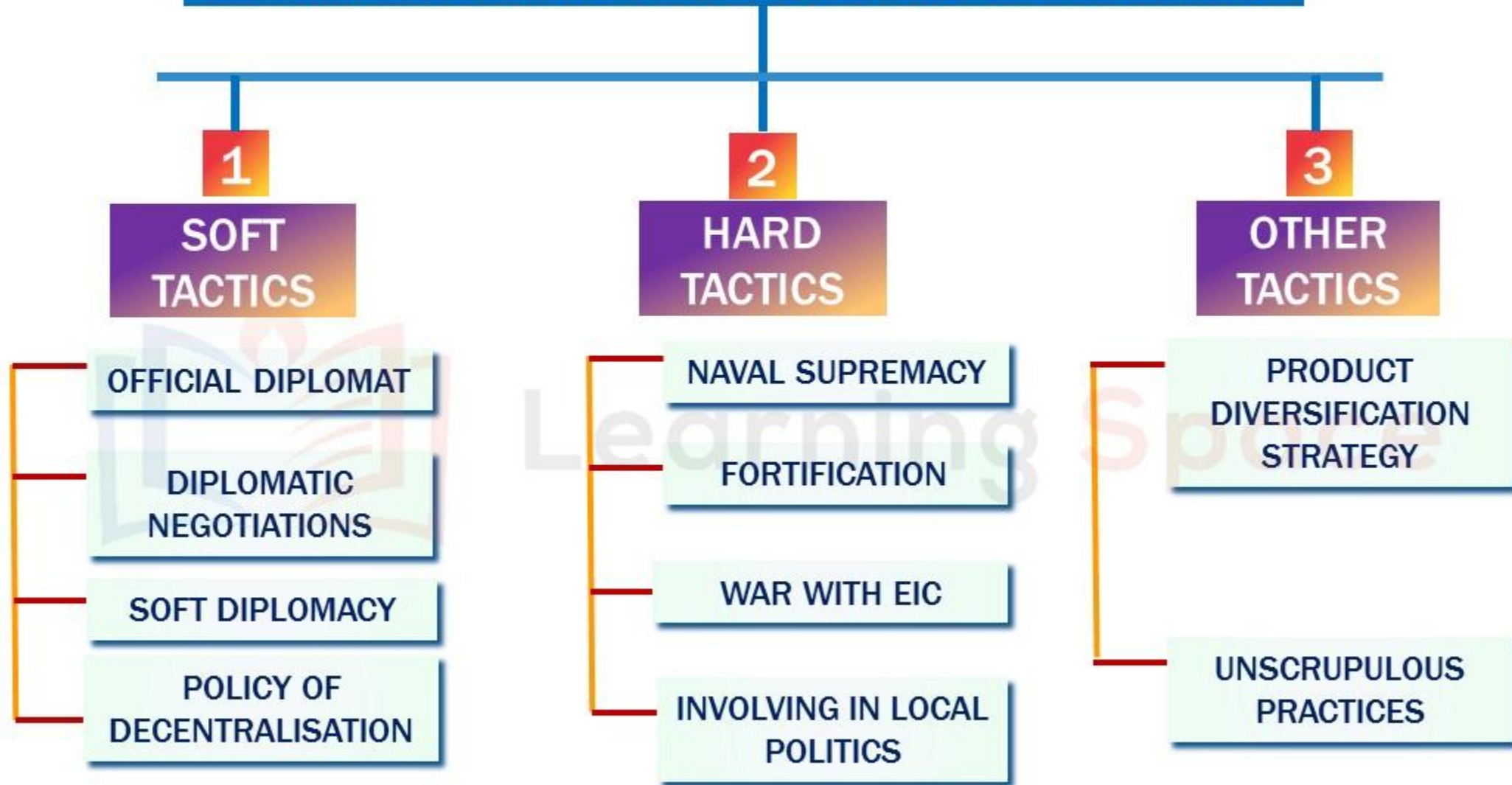
Unscrupulous practices to expand trade.

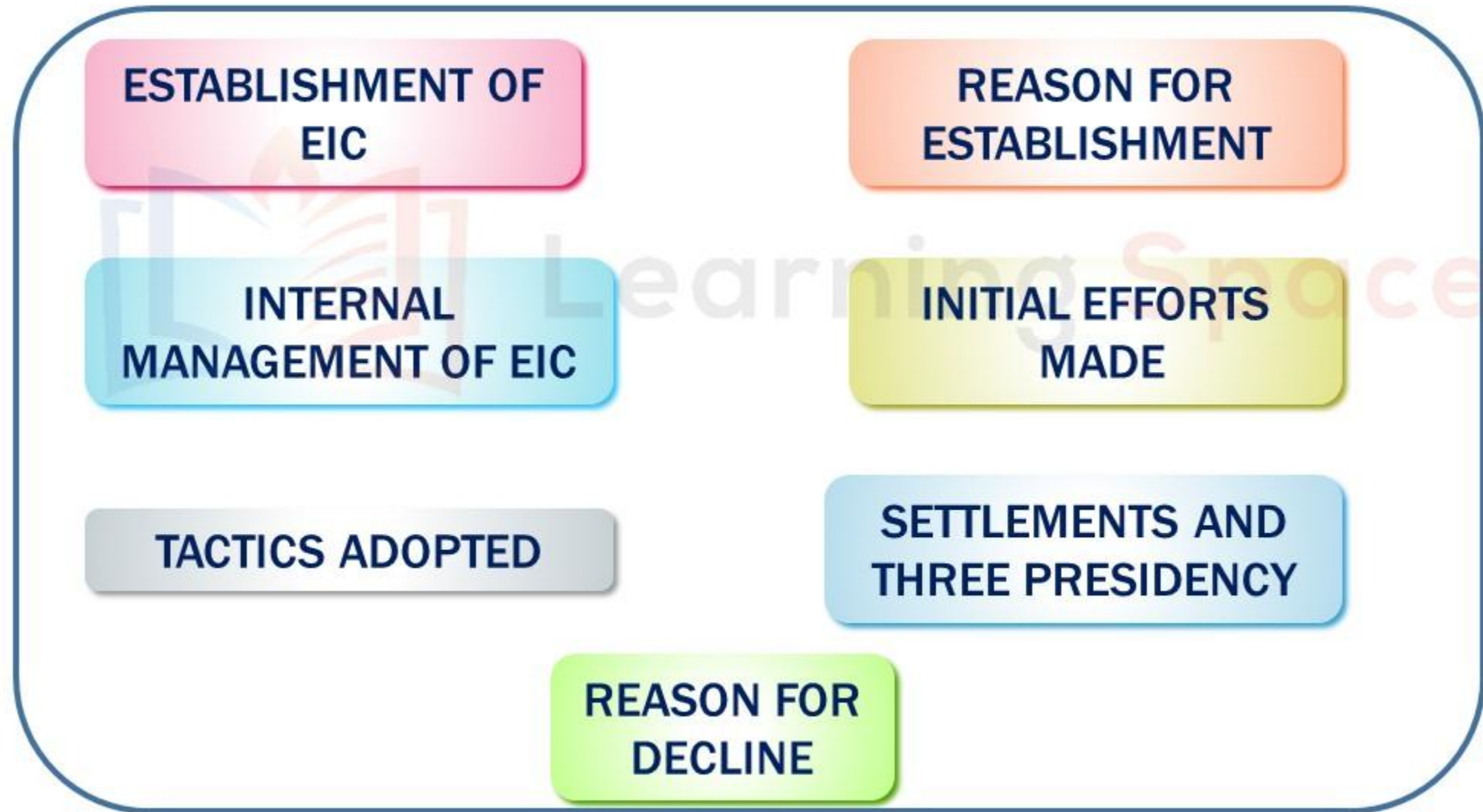
- **Misusing** of trading passes or dastak
- **Collusion** with native rulers and using them against their enemies **for their personal gains**
- Cheat practices, private trade, **corruption**, bribe and dirty politics.



ENGLISH EAST INDIA COMPANY

TACTICS ADOPTED BY ENGLISH EIC AT THE FORMATIVE STAGE TO CONSOLIDATE THEIR EMPIRE





INITIAL SETTLEMENTS OF BRITISH EIC

ENGLISH SETTLEMENTS OF WESTERN COAST

First permanent factory set up at Surat in 1613.

- 1661 AD- Due to **matrimonial relation** between Portuguese and British, Portuguese gave Bombay as dowry to Prince Charles II.
- Company acquired Bombay from Charles II **on lease** at very crucial movement when Surat was repeatedly attacked by Marathas.

Surat

Bombay

ENGLISH SETTLEMENTS OF EASTERN COAST

- Establish factory at **Hugli** in 1651 AD followed by **Kasimbazar** in 1656 AD.
- There was demand for Bengali goods especially **silk and saltpeter**.

Hugli

Masulipatnam

- In south India, they established first factory(trading post) in 1611 AD.
- In 1630, secured Golden Farman from sultan of Golconda which ensured safety for their trade.
- It was the main sea port of Golconda and largely traded in **diamonds, rubies and textiles**.

STRATEGIC ADVANTAGE OF SETTLEMENTS

WHY WESTERN SETTLEMENT?

- Nearer to Europe than eastern coast.
- Trade route **was familiar** due to past trade activities.
- **Natural ports**-
 - docking of ships was easier
 - all-weather port.

So **economically** it was more feasible to have ports in Western side.

WHY EASTERN SETTLEMENT?

- Easy **access to Indonesia and South east Asia** where British had established their colonies.
- Commercial importance of **Bengal**
 - Bengal **was one of the richest province** due to trade of **muslin, silk**, which was in great demand.

So to maximise their profit, English setup factory at Bengal and Masulipatnam

From these coastal settlements English could easily keep an **eye on their enemies** (Dutch, Portugal, France).
EIC with **naval supremacy** were able to use these ports more effectively.

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